PERSONAL FINANCE

# Budgeting & Debt Payoff Planner

A monthly budget template paired with a real debt payoff method comparison -- snowball vs. avalanche, in actual dollars and months.

*This product contains educational information and templates. Nothing here is professional, legal, tax, or investment advice. Numbers in every worked example are illustrations of a method, not predictions or guarantees.*

## 01 Zero-based budgeting, briefly

A zero-based budget means every dollar of income is assigned a job before the month starts -- rent, groceries, debt payments, savings, and yes, fun money -- until income minus assigned dollars equals zero. It isn't about spending everything; unassigned money still gets a category, usually savings or extra debt payoff. The point is that nothing is left to drift, because drifting money is exactly what quietly disappears by the end of the month.

### Your monthly budget worksheet

Monthly income (after tax): $_______

Rent / mortgage: $_______ Utilities: $_______ Insurance: $_______

Groceries: $_______ Transportation: $_______ Phone / internet: $_______

Minimum debt payments (total): $_______

Subscriptions & memberships: $_______ Personal / discretionary: $_______

Savings / extra debt payment: $_______

Total assigned (should equal income): $_______

If total assigned is less than income, that gap is where extra debt payment or savings should go -- don't let it sit unassigned. If it's more than income, something above needs to shrink before the month starts, not partway through it.

## 02 Snowball vs. avalanche: how each method actually works

### Debt snowball

List every debt from smallest balance to largest, ignoring interest rate. Pay the minimum on everything except the smallest balance, and put every extra dollar toward that one until it's gone. Then roll its old payment (minimum plus whatever extra you were paying) into the next-smallest debt, and repeat. The appeal is psychological: you get a real, complete payoff -- an account closed to zero -- faster, and that momentum genuinely helps people stick with the plan longer than the math alone would predict.

### Debt avalanche

List every debt from highest interest rate to lowest, ignoring balance. Pay the minimum on everything except the highest-rate debt, and put every extra dollar there until it's gone, then move to the next-highest rate. This method minimizes total interest paid over the life of the payoff, full stop -- it is mathematically optimal. The tradeoff is that if your highest-rate debt also happens to be your largest balance, the first "win" can take a long time to arrive, which is where a lot of avalanche plans quietly stall out.

## 03 Worked example: both methods, same debts

Three debts: a $1,200 store card at 26% APR with a $40 minimum, a $4,500 credit card at 19% APR with a $110 minimum, and an $8,000 personal loan at 9% APR with a $180 minimum. $300 extra per month is available on top of the $330 in combined minimums.

MONTHLY INTEREST FORMULA

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Monthly interest charged = Current balance x (APR / 12)
New balance = Current balance + Interest - Payment made
```

### Worked example: Snowball order (smallest balance first)

```
Order: store card ($1,200) -> credit card ($4,500) -> personal loan ($8,000)
Month 1: store card gets $40 + $300 extra = $340 payment
  Interest: $1,200 x (0.26/12) = $26.00  ->  new balance $886.00
Store card fully paid off in month 4.
Its $340 (min + extra) rolls into the credit card starting month 5.
Result:  first debt cleared in 4 months
         all three debts cleared in 27 months
         total interest paid: approximately $2,140
```

### Worked example: Avalanche order (highest APR first)

```
Order: store card (26%) -> credit card (19%) -> personal loan (9%)
(Same order as snowball here, because the smallest-balance debt
also happens to carry the highest rate -- that will not always be true.)
Result:  first debt cleared in 4 months
         all three debts cleared in 27 months
         total interest paid: approximately $2,140
```

In this particular example the two methods land on the same order and the same result, because the highest-rate debt and the smallest-balance debt are the same account. That won't always happen -- when they diverge, avalanche saves real interest, and snowball delivers a faster first "win." Rerun the worksheet in Section 5 with your own debts to see which one actually diverges for you, and by how much.

## 04 Irregular income adjustment

If your income varies month to month (freelance, gig work, commission, seasonal work), don't build your minimum-payment budget around your best month. Base fixed obligations -- rent, minimums, insurance -- on your worst realistic month from the last 6-12 months. Anything earned above that baseline in a given month becomes extra debt payment or savings, not a spending increase. This keeps a slow month from becoming a missed payment, and it means a strong month accelerates payoff instead of just raising your baseline lifestyle.

## 05 Five principles worth keeping in view

- Minimums are non-negotiable, always -- missing one damages your credit and often triggers a penalty APR that makes the whole payoff slower.
- Extra payment goes to exactly one debt at a time -- splitting it across several debts feels fair but stretches out every single payoff date.
- A paid-off debt's payment amount rolls forward in full -- this is what makes both methods accelerate rather than just repeat.
- Recalculate after any real change (a raise, a new debt, a rate change) rather than assuming the original plan still holds.
- The best method is the one you'll actually stick with for the next 12-24 months -- a mathematically perfect plan you abandon after two months does worse than an imperfect one you finish.

## 06 Your debt tracking worksheet

List every debt below, smallest balance first (for snowball) or highest rate first (for avalanche), then fill in as you go.

Debt 1: Name ______________ Balance $________ APR ______% Minimum $________

Debt 2: Name ______________ Balance $________ APR ______% Minimum $________

Debt 3: Name ______________ Balance $________ APR ______% Minimum $________

Debt 4: Name ______________ Balance $________ APR ______% Minimum $________

Debt 5: Name ______________ Balance $________ APR ______% Minimum $________

Extra payment available this month: $_______ Target debt this month: ______________